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Primary Auction Note – September 2020

In September, Central Bank of Kenya is re-opening fixed bonds: **FXD2/2010/15** (5.3 year bond), **FXD1/2020/15** (14.5 year bond) and **FXD1/2011/20** (10.7 year bond) in a bid to raise **KES 50 Billion**. The period of sale runs from **31/08/2020** to **15/09/2020**. The coupon rate is **9.000%**, **12.756%** and **10.000%** respectively. The bonds attract a withholding tax of **10%** each.

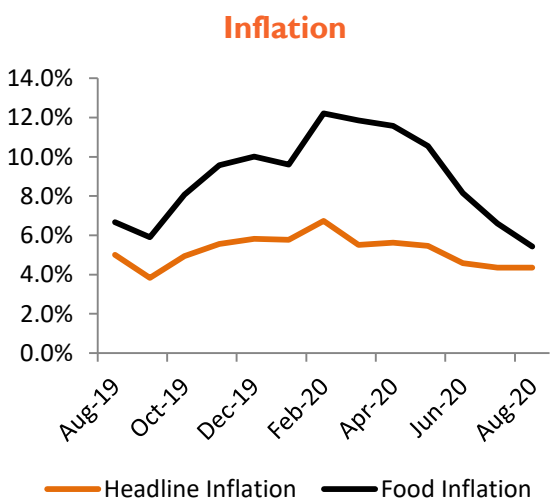
Investors' focus remains on the short end of the yield curve: In the current market environment where investor uncertainty remains elevated and high liquidity in the money market, investors are likely to focus on the shorter end of the yield curve.

We advise investors to bid within the range of **10.30%** to **10.55%** for the **FXD2/2010/15**, **11.85%** to **12.10%** for the **FXD1/2011/20** and **12.35%** to **12.55%** for the **FXD1/2020/15** as demand for the shorter-term papers are likely to be elevated and CBK is likely to reject aggressive bids.

Secondary Bond Market:

In August, the secondary market activity increased. Turnover in August, reversed upwards by 2.46% to KES 67.43Bn ($623.14Mn) from KES 65.812Bn ($ 609.97Mn) witnessed in July.

August Inflation:



In August, Headline inflation remained at 4.36%. The CPI increased by 0.20% from 108.35 in August to 108.57. This increase occurred on the back of an rise in the housing, water, electricity, gas & other fuels; transport; information and communication; and the restaurant and accommodation indices which increased by 1.24%, 2.1% 1.12%, and 1.48% respectively. Meanwhile, the food and alcoholic beverages index decreased by 1.01% as the decrease in prices of several food items outweighed the increases.

Headline inflation is expected to remain stable on the back of subdued food prices. Food supply is likely to increase due to favorable weather conditions experienced during the long rains season and gradual reopening of the economy.

September 14, 2020

RECOMMENDATION:

5.3 Year FXD2/2010/15:

Bid 10.30% to 10.55%

14.5-Year FXD1/2020/15:

Bid 12.35% to 12.55%

10.7-Year FXD1/2011/20:

Bid 11.85% to 12.10%

Period of Sale: 31/08/2020 to 15/09/2020.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B+ (negative)

CPI:
(2019=100):
108.57

August Inflation:
4.36%

Interbank rate (11th September 2020): 2.58%

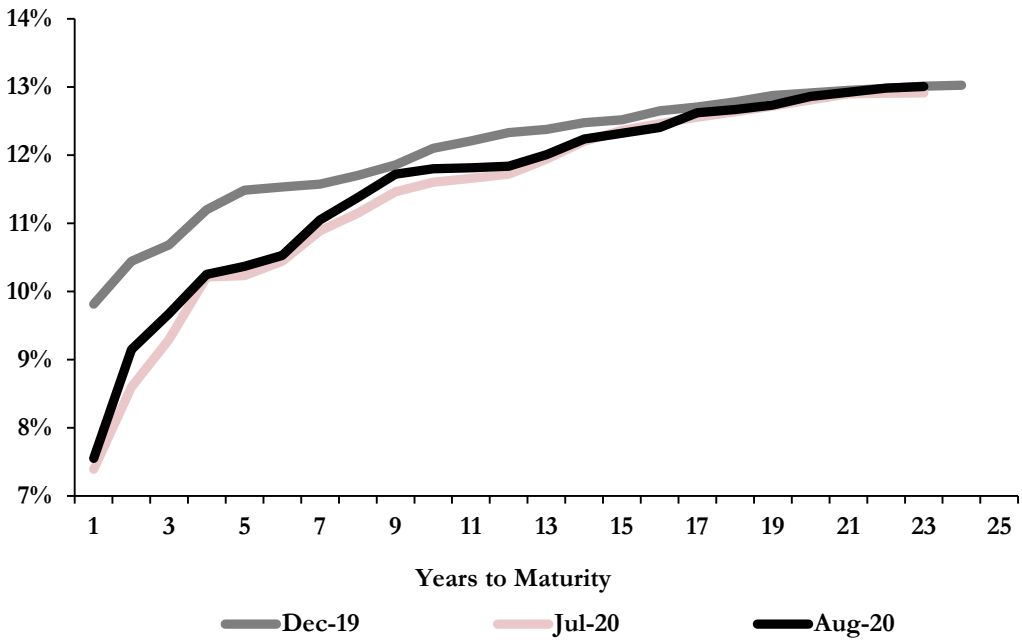
C.B.R (29th July 20):
7.00%

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Interbank

The money market remained relatively liquid during the month. The interbank steadily increased from 2.34% at 7th August to 2.58% as of the 11th of September, an indicator of the elevated liquidity in the market.

NSE Yield Curve



In August, there was a mild flattening of the yield curve as short and medium-term rates increased.

We the yield curve to steepen as short-term rates are likely to decline. In the current environment of increased investor uncertainty, demand for short-term papers is likely to increase thereby pushing short-term rates lower.

Currency:

The Kenya Shilling (KES) depreciated against the greenback over the month of August. The shilling has weakened by 1.11% against the USD since the end of July. On the 31st of August, the KES closed at a value of KES 108.21/$ from the KES 107.02/$ witnessed at the end of July.

CBK's usable foreign exchange reserve decreased to USD 8.87 million from USD 9.29 million at the beginning of August, representing an decrease to 5.38 months of import cover from 5.64 months of import cover. The reserves are still sufficient as they remain above the statutory requirements of four months of import cover.

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